EARLY WARNING REPORT PREPARED IN ACCORDANCE WITH NATIONAL INSTRUMENT 62-103, FILED IN ONTARIO PURSUANT TO SECTION 7.1 OF ONTARIO SECURITIES COMMISSION RULE 62-504 AND IN THE OTHER CANADIAN PROVINCES PURSUANT TO SECTION 5.2 OF MULTILATERAL INSTRUMENT 62-104

1. **Name and address of the offeror:**

   Maple Leaf Foods Inc.
   30 St. Clair Ave. West
   Suite 1500
   Toronto, Ontario
   M4V 3A2

2. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities of which the offeror acquired ownership or control in the transaction or occurrence giving rise to the obligation to file the news release, and whether it was ownership or control that was acquired in those circumstances:**

   On July 17, 2008, Maple Leaf Foods Inc. ("Maple Leaf") acquired ownership and control of 458,800 common shares of Canada Bread Company, Limited ("Canada Bread"). The 458,800 common shares together with 158,400 common shares of Canada Bread purchased on May 13, 2005 and the 122,900 common shares of Canada Bread purchased on January 17, 2007, represent approximately 2.9% of Canada Bread's outstanding common shares. Prior to these transactions, Maple Leaf beneficially owned 22,078,415 common shares representing approximately 86.9 % of the outstanding common shares of Canada Bread.

3. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities immediately after the transaction or occurrence giving rise to obligation to file the news release:**

   After acquiring the common shares indicated in question 2 above, Maple Leaf owns 22,818,515 common shares representing approximately 89.8% of the outstanding common shares of Canada Bread.

4. **Designation and number or principal amount of securities and the percentage of outstanding securities of the class of securities referred to in question 3 over which**

   (i) **the offeror, either alone or together with any joint actors, has ownership and control,**

   (ii) **the offeror, either alone or together with any joint actors, has ownership but control is held by other persons or companies other than the offeror or any joint actor, and**

(iii) **the offeror, either alone or together with any joint actors, has exclusive or shared control but does not have ownership:**

Maple Leaf has ownership and control of 22,818,515 common shares representing approximately 89.8% of the outstanding common shares of Canada Bread.

5. **Name of the market in which the transaction or occurrence that gave rise to the news release took place:**

The 458,800 common shares referred to above were purchased on the Toronto Stock Exchange.

6. **Purpose of the offeror and any joint actors in effecting the transaction or occurrence that gave rise to the news release, including any future intention to acquire ownership of, or control over, additional securities of the reporting issuer:**

The common shares were purchased for investment purposes. Maple Leaf may or may not purchase additional common shares of Canada Bread in the future, depending on market conditions.

7. **General nature and the material terms of any agreement, other than lending arrangements, with respect to securities of the reporting issuer entered into by the offeror, or any joint actor, and the issuer of the securities or any other entity in connection with the transaction or occurrence giving rise to the news release, including agreements with respect to the acquisition, holding, disposition or voting of any of the securities:**

Not applicable.

8. **Names of any joint actors in connection with the disclosure required by Appendix E to NI 62-103:**

Not applicable.

9. **In the case of a transaction or occurrence that did not take place on a stock exchange or other market that represents a published market for the securities, including an issuance from treasury, the nature and value of the consideration paid by the offeror:**

   Not applicable.

10. **If applicable, a description of any change in any material fact set out in a previous report by the entity under the early warning requirements or Part 4 of NI 61-103 in respect of the reporting issuer's securities:**

    Not applicable.

DATED at Toronto, Ontario as of July 18, 2008.

MAPLE LEAF FOODS INC.

By: *"Rocco Cappucitti"*
Name: Rocco Cappuccitti
Title: Senior Vice-President,
and Corporate Secretary